

Information in the Insolvency Age

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In May of 2016, India enacted a new comprehensive Insolvency and Bankruptcy Code that covers commercial as well as individual debtors and repeals all existing laws within its scope. The Code dramatically reforms the substantive rules of insolvency and bankruptcy law in India and creates a number of new important institutional actors, including the Insolvency and Bankruptcy Board of India (the Board), financial information utilities, insolvency professionals, and insolvency professional agencies. Provisions of the Code concerning commercial debtors and related regulations have already gone into effect, and over 2,000 cases have been initiated under the system.¹ Approximately 2,000 insolvency professionals² and three registered insolvency professional agencies³ have been registered; one information utility has been approved;⁴ and the Board has indicated that it plans to at least partially notify the provisions for personal debtors in the future.⁵

¹ <http://ibbi.gov.in/webadmin/pdf/press/2017/Dec/Government%20disposes%202,750%20cases%20under%20Insolvency%20and%20Bankruptcy%20Code.pdf>

² <http://www.ibbi.gov.in/register.html>

³ <http://www.ibbi.gov.in/ipas.html>

⁴ See <http://ibbi.gov.in/webadmin/pdf/press/2017/Sep/IU%20Registration%20Press%20Release.pdf>

⁵ The chairperson of the Insolvency and Bankruptcy Board has recently stated that one of the institution's primary current goals is to "operationalise the individual insolvency regime in respect of guarantors to the corporates and the individuals having proprietary business." *Individual Insolvency Norms a Priority, Says IBBI Chairman*, The Economic Times, Oct. 2, 2017, available at <http://economictimes.indiatimes.com/news/economy/policy/individual-insolvency-norms-a-priority-says-ibbi-chairman/articleshow/60912706.cms>

Roughly a year after the Code has gone into effect, issues of first impression continue to arise with some frequency, and much preliminary work remains to be done to implement and improve aspects of the new insolvency and bankruptcy ecosystem. Among its numerous responsibilities, the new Board is charged with gathering and disseminating information about the insolvency and bankruptcy system. Specifically, the Code provides that the Board must “publish such information, data, research studies and other information as may be specified by regulations; ... collect and maintain records relating to insolvency and bankruptcy cases and disseminate information relating to such cases; [and] ... maintain websites and such other universally accessible repositories of electronic information as may be necessary”⁶ To date, although the Board has developed a user-friendly web site where it has timely released regulatory materials and orders issued by tribunals and courts, there is no indication that it has begun any systematic effort to gather data about cases in the system or to disseminate it to the public. Neither have the National Company Law Tribunals, for that matter, which do not have a similar legal mandate to do so. As a result, it is not currently possible for independent observers to regularly determine even the most basic information about the system, such as how many cases have been filed or how many have been resolved.

Gathering and disseminating data about the new insolvency and bankruptcy system may seem like a regulatory function of secondary importance, and it has received scant attention thus far among policymakers and commentators.⁷ Thus far, the only effort to gather and report data about the operation of the new insolvency and bankruptcy system is being conducted by a group of independent researchers who have analyzed orders issued by the National Company Law Tribunals under the

⁶ IBC s194

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Code.⁸ These orders provide much illuminating information about the system, but they also underscore the need for more comprehensive and usable data. Each order generally includes only the information relevant to its particular action or decision and does not report such information in a standardized or searchable format.

The availability of comprehensive, reliable, and standardized data about the new system is essential for many purposes and very useful for many others. Without such data, regulators and public observers cannot reasonably assess how the system is performing or determine what effect it may be having on its stakeholders and the broader society. Such data can also provide a uniquely illuminating window into the economy, highlighting economic, financial, and social trends and potential micro and macro vulnerabilities. Drafters of the IBC were therefore wise to include a requirement regarding data. It now falls to the Board to execute its responsibility regarding data and, hopefully, to the National Company Law Tribunals and the Debt Recovery Tribunals to play a cooperative role.

As these institutions decide what information to gather and to disseminate, and how to do so, the Board and the Tribunals can draw from the experience of other jurisdictions that have struggled to determine appropriate policies and practices for making bankruptcy and insolvency data available to the public. To help frame the policy questions the new Board and the Tribunals will face, this Essay summarizes the evolution of

⁸ See Sreyan Chatterjee, Gausia Shaikh & Bhargavi Zaveri, *Watching India's insolvency reforms: a new dataset of insolvency Cases*, Indira Gandhi Institute of Development Research, working paper, WP-2017-012, (2017), which also discusses the importance of empirical data about the new insolvency and bankruptcy system. See also Indira Gandhi Institute of Development Research, Finance Research Group, *Insolvency Cases Dataset*, available at http://ifrogs.org/releases/nclt_data.html.

approaches that policymakers in the United States have taken with regard to bankruptcy data and describes some of the research utilizing this data.

The American experience with bankruptcy data is, in many respects, a cautionary tale. As this Essay explains in Part I, for most of the history of bankruptcy law in the U.S., bankruptcy petitions and supporting documents have been public documents; as of 2001, those documents and case docket information have been available electronically over the internet for a fee, with limited exceptions for personal information.⁹ For many decades, the Administrative Office of the U.S. Courts was charged with reporting very basic aggregate data about bankruptcy cases. Debates over bankruptcy policy and major reforms in 1978 revealed, however, that available information about the system was insufficient to shed meaningful light on key questions of policy and practice.

Over the last two decades of the Twentieth Century, a number of scholars and other commentators engaged in empirical study of the U.S. bankruptcy system began drawing attention to the need for more and better bankruptcy statistics. These writers offered compelling arguments and a useful literature about how bankruptcy data can provide a window into financial and economic trends and help stakeholders and policymakers understand how the system operates, observe the impact of the system on its stakeholders, and identify areas of potential reform.

In 2005, as part of major reforms to that country's personal bankruptcy laws, the U.S. Congress significantly augmented the responsibilities of the Administrative Office of the U.S. Courts for gathering

⁹ Personal information that is omitted or redacted includes Social Security numbers, financial account numbers, the names of minors, dates of birth, and home addresses in criminal cases. See <https://www.pacer.gov/>.

and reporting data about bankruptcy cases as well as the data collection function of bankruptcy trustees. The aggregate statistics collected and reported by the Administrative Office of the U.S. Courts now provide an essential baseline set of information about the broad scope and trends of the operation of the bankruptcy system. However, researchers continue to have concerns about the reliability of this aggregate data. Furthermore, the aggregate statistics provide only little insight about the determinants of financial distress, details of the operation of the bankruptcy system, or the impact of that system on debtors, creditors, and other stakeholders. The most useful bankruptcy data still appear to be the case-level public documents, especially the petitions and supporting schedules that debtors themselves submit, and qualitative data derived from interviews, surveys, and questionnaires. Such research is inevitably costly, time consuming, and can be difficult to replicate and evaluate.

The American experience thus illustrates the value of relevant and reliable aggregate data and the essential need for useful case level data, but it also reflects how efforts to gather such data and make it available raise complicated issues of policy and practicality. In these early years of the operation of India's new insolvency and bankruptcy system, the both the importance and the difficulty of gathering and disseminating useful data are acute. The initial challenge in this regard is identifying precisely what types of information about the new system would be useful for policymakers, stakeholders, and researchers. Part II.A describes in general terms the types of aggregate and case level data about the Indian insolvency and bankruptcy system that might be profitably gathered and made available. Part II.B considers whether the Board or the tribunals might be in a better position to provide certain categories of data. As that section explains, the tribunals are well-positioned to gather and disseminate comprehensive aggregate statistics about the cases they handle. They can also provide case level information, either by making it publicly available or

by granting access to such information to researchers. The Board can also gather and disseminate aggregate or case level information without cooperation from the tribunals, but it must rely on information provided to it by insolvency professionals and insolvency professional agencies. This may be a more cumbersome process in general, but the Board is likely in a better position to gather data about many aspects of cases that are conducted or managed by the insolvency professionals. Given that they likely have overlapping and complimentary capacities for gathering and disseminating data, it would be ideal for the tribunals and the Board to cooperate or coordinate their efforts to make data timely, accurate, uniform, and easily accessible and usable.

Part II.C. addresses the functionality of data gathered by the Board or the tribunals and need for assuring reliability and uniformity. This requires, among other things, systems for recording and retrieving information about procedural aspects of cases filed under the Code, forms designed to facilitate the extraction of data, and careful definition of terms employed in court documents and proceedings. The Board and the Ministry of Corporate Affairs have promulgated some model forms that should promote these goals. This Part proposes that the Board conduct a study of cases brought under the Code to assess how these forms are utilized and the quality and uniformity of the data they reflect and to identify other areas of practice that warrant similar model forms.

In conclusion, this Essay reemphasizes the institutional responsibility the Board has to gather and disseminate data about India's new insolvency and bankruptcy system. It also underscores the great opportunity the Board has to provide a model for transparency in the Indian legal system and to gather extremely useful information about the financial vulnerabilities of citizens, households, retail lenders, and the broader economy.

I. The U.S. Experience

This Part describes the evolution of the approach to bankruptcy data in the U.S., which reflects the influence of scholars engaged in empirical study of the country's bankruptcy system and who have been vocal advocates for the availability of reliable and usable data. Part I.A briefly summarizes the two primary ways that data about the U.S. bankruptcy system has historically been made available to the public: first, the collection and dissemination of aggregate data by government entities in the bankruptcy system, especially the Administrative Office of the U.S. Courts and the U.S. Trustee; and second, by making court documents, records, and information publicly available. Part I.B. describes the emergence, beginning in the 1980s, of an ever-expanding literature of empirical research of the U.S. bankruptcy system. It notes the work done by some of the leading scholars in the first wave of this literature to articulate the benefits of accurate and accessible bankruptcy data and to critically assess the American approach to bankruptcy data. Part I.C. describes the evolution of the U.S. approach to bankruptcy in provisions of the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 regarding data about the bankruptcy system, and evaluates the usefulness of the information generated by those reforms for bankruptcy scholars and policymakers.

A. Starting Points

The U.S. Congress has required various government actors to collect and disseminate bankruptcy data since it enacted the first bankruptcy law in 1898.¹⁰ In 1948, Congress assigned responsibility for collecting and

¹⁰ Teresa A. Sullivan, Elizabeth Warren & Jay L. Westbrook, *The Use of Empirical Data in Formulating Bankruptcy Policy*, 50 L. & CONT. PROBS.

disseminating general bankruptcy data to the Administrative Office of the U.S. Courts.¹¹ Until 2005, the Administrative Office collected some basic data about the number and types of cases filed, some procedural actions, and debtors' assets and liabilities.¹² It regularly published aggregate statistics about the number of cases and adversary proceedings within cases drawn from this data.¹³

In the American bankruptcy system, private trustees administer almost all bankruptcy cases involving individual debtors and some bankruptcy cases of commercial debtors. The U.S. Trustee Program of the U.S. Department of Justice is charged with oversight of bankruptcy cases and private bankruptcy trustees, and it also gathers and publishes some data relating to trustees' role in bankruptcy administration in cases around the country.¹⁴ These published data include statistics on the system's

195, 195 (1987) (noting that "Congress sent out more than 15,000 letters and collected more than 20,000 constituent comments before formulating the 1903 amendments to the Bankruptcy Act").

¹¹ 28 U.S.C. §§ 604(a)(2), (13) (1948); *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 929.

¹² Katherine Porter, *The Potential and Peril of BAPCPA for Empirical Research*, 71 Mo. L. REV. 963, 967 (2006); Jennifer C. Frasier, *Caught in a Cycle of Neglect: The Accuracy of Bankruptcy Statistics*, 101 COMM. L.J. 307, 309-10 (1996); *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 927. [Note: confirm that it collected debt and assets data.]

¹³ See, e.g., *Business and Non-Business Cases Filed, by Chapter of the Bankruptcy Code*, June 2004, http://www.uscourts.gov/sites/default/files/statistics_import_dir/1204_f2.pdf; *Adversary Proceedings Commenced, Terminated and Pending*, June 2004, http://www.uscourts.gov/sites/default/files/statistics_import_dir/F08Jun04.pdf.

¹⁴ See, e.g., United States Department of Justice Executive Office for United States Trustees, *United States Trustee Program Annual Report of Significant Accomplishments*

Fiscal Year 2015, https://www.justice.gov/ust/file/ar_2015.pdf/download; *United States Trustee Program Annual Report of Significant Accomplishments Fiscal Year 2004*, <https://www.justice.gov/sites/default/files/ust/legacy/2011/07/13/>

overall caseload; actions against debtors for denial of discharge and dismissal of cases; actions against creditors, attorneys and other parties; criminal referrals; professional fees; objections to plan confirmations in the Chapter 11; trustee disbursements to creditors; and approval of, and fees charged by, debtor financial counseling and education providers.¹⁵

More significant for empirical study of bankruptcy in the United States, most documents related to bankruptcy cases in the U.S. federal court system, including bankruptcy petitions and related documents, have historically been public documents.¹⁶ Beginning in late 1980's, the federal courts adopted PACER, the Public Access to Courts Electronic Records program, which is operated by the Administrative Office.¹⁷ Currently, PACER provides electronic access – for a fee – to most relevant documents and case information in bankruptcy cases, redacting certain basic personal information such as Social Security numbers and financial account numbers.¹⁸

B. An Emerging Literature

Until the last quarter of the Twentieth Century, the data available from government agencies or from filings themselves had little discernable

[ar2004.pdf](#) National Bankruptcy Review Commission, *Bankruptcy: The Next Twenty Years*, 930-31 (1997), available at <http://govinfo.library.unt.edu/nbrc/reportcont.html>.

¹⁵ *United States Trustee Program Annual Report of Significant Accomplishments*

Fiscal Year 2015, *supra* note ____.

¹⁶ *See generally*, Peter W. Martin, *Online Access to Court Records: From Documents to Data, Particulars to Patterns*, 53 VILL. L. REV. 855 (2008).

¹⁷ <https://www.pacer.gov/about.html>

¹⁸ [Note privacy issues here?] *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 934 (down-playing them).

impact on policymakers. As three prominent scholars wrote in 1987, “The most significant thing about the role of empirical research in bankruptcy policy has been its insignificance.”¹⁹ Debates over bankruptcy policy that began to develop and intensify in the early 1970’s, culminating in major reforms in 1978, helped fuel a new interest in, and calls for, empirical study of the existing bankruptcy system and the impact it had on the U.S. economy and society.²⁰ In 1973, the Report of the Commission on the Bankruptcy Laws of the United States, which heavily influenced the development of the current Bankruptcy Code, proposed creating a national, centralized process for collecting and disseminating empirical data about the U.S. bankruptcy system.²¹ In support of that proposal, it quoted these observations from a contemporaneous study: “Because of such extensive variations in local practice and financial conditions, we feel that the performance of the current bankruptcy system will continue to defy all but the crudest analysis until more uniform policies and practices are established and essential data elements can be collected as a routine part of processing each case.”²²

¹⁹ Sullivan, *et al.*, *supra* note ___, at 195; *see also*, Porter, *supra* note ___, at 965 (“Empirical research about bankruptcy is relatively young.”).

²⁰ *See* Sullivan, *et al.*, *supra* note ___, at 196 (citing calls for empirical research in the years leading up to the 1978 amendments); *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 925 (noting that the 1973 Commission report advocated “the creation of a national system of bankruptcy administration that would have among its duties the collection and dissemination of empirical data about the bankruptcy system.”) (citing *Report of the Commission on the Bankruptcy Laws of the United States*, H.R. Doc. No. 137, 93d Cong., 1st Sess., pt. 1, at 110-11 (1973) and Dreyfus, Greenwood & Fiorello, *The Impact of Proposed Changes in Bankruptcy Administration*, Rand, 7-8 (1973)); D. Stanley & M. Girth, *Bankruptcy: Problem, Process, Reform* 115 & Table 6-3 (1971); Shuchman, *Theory and Reality in Bankruptcy: The Spherical Chicken*, LAW & CONT. PROBS., Autumn 1977, at 66, 68.

²¹ *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 925 (citing Report of the Commission on the Bankruptcy Laws of the United States, H.R. Doc. No. 93-137, 93d Cong. 1st Sess., at 120 (1973)).

²² Dreyfus *et al.*, *The Impact of Proposed Changes in Bankruptcy*

In fact, much of the early empirical research on U.S. bankruptcy law made similar pleas and catalogued the potential benefits of useful data about the operation of the bankruptcy system. This early literature observed, among other things, that such data can help policymakers make important administrative decisions regarding the allocation of scarce resources;²³ identify factors that impact judges' decisions in particular cases;²⁴ inform debates over the design of bankruptcy law and the direction of bankruptcy policy;²⁵ reflect the impact of bankruptcy law on the broader economy;²⁶ generate ideas for further empirical research and help identify what new data are needed;²⁷ enable stakeholders to plan around the operation of the bankruptcy system;²⁸ and provide critical information about the performance of an economy and its financial system.²⁹ As Teresa Sullivan, Elizabeth Warren, and Jay Westbrook wrote in 1987,

Administration, 7-8, Rand, WN-8131-COBL (March 1973), quoted in *Report of the Commission on the Bankruptcy Laws of the United States*, *supra* note ____.

²³ Frasier, *supra* note ___, at 308 ("These statistics are critical as they determine resource allocation to bankruptcy districts and assist in docket management."); *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 926; Sullivan, *et al.*, *supra* note ___, at 222.

²⁴ *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 926.

²⁵ Frasier, *supra* note ___, at 310-11 ("[I]naccurate data may lead to the adoption of inefficient laws that risk causing more harm than laws based on no statistics at all In addition, inaccurate data make it exceedingly difficult to evaluate the impact of bankruptcy reform measures."); Sullivan, *et al.*, *supra* note ___, at 196-97; *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 926.

²⁶ Frasier, *supra* note ___, at 308.

²⁷ Sullivan, *et al.*, *supra* note ___, at 228; *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 926.

²⁸ *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 926.

²⁹ Frasier, *supra* note ___, at 308. [Note: more on each of these?]

Fundamental bankruptcy policies for both consumers and businesses are based on assumptions of fact about the behavior of debtors and creditors, credit markets, attorneys, landlords, equity holders, tort victims, trust donors, repo purchasers, stockbrokers, codebtors, shopping center lessors, labor unions, warehousemen, taxing authorities, layaway purchasers, accountants, farmers, foreign representatives, insiders, outsiders, and the rest of the cast. Some of these assumptions are tested, and some are not; likewise, some are accurate, and some undoubtedly are not.³⁰

To provide more nuanced and generalizable information about the bankruptcy system, researchers began conducting labor- and cost-intensive studies of bankruptcy filings to extract and employ case-level data.³¹ As the National Bankruptcy Review Commission's final report noted in the late 1990s, "[t]he empirical studies that do exist are based on a small sampling that [had] been manually and laboriously compiled, and the conclusions of these studies cannot be updated without similar effort."³² In the early

³⁰ Sullivan, *et al.*, *supra* note ___, at 198.

³¹ *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 925; Sullivan, *et al.*, *supra* note ___, at 196.

³² *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 926; Rasmussen, *supra* note ___; *see, e.g.*, U.S. Gen. Accounting Office, Bankruptcy Reform: Use of the Homestead Exemption By Chapter 7 Bankruptcy Debtors in the Northern District of Texas and the Southern District of Florida, GGD-99-142R (July 12, 1999); U.S. Gen. Accounting Office, Bankruptcy Administration: Case Receipts Paid to Creditors and Professionals, GGD-94-173 (July 13, 1994); Robert M. Lawless & Stephen P. Ferris, *Professional Fees and Other Direct Costs in Chapter 7 Bankruptcies*, 75 WASH. U. L.Q. 1207 (1997); Robert M. Lawless & Stephen P. Ferris, *The Expenses of Financial Distress: The Direct Costs of Chapter 11*, 61 U. PITT. L. REV. 629 (2000).

1980's, for example, Sullivan, Warren, and Westbrook began gathering data for the Consumer Bankruptcy Project, an ongoing project that has gathered and analyzed data from cases in multiple districts and from surveys, interviews, and questionnaires.

The first phase of the Project, conducted in the 1980's, culminated in the ground-breaking book, *As We Forgive Our Debtors: Bankruptcy and Consumer Credit in America*.³³ Data from a second phase of the Project, conducted in the early 1990's, was described and analyzed in the *Fragile Middle Class: Americans in Debt*.³⁴ Data from the third phase of the Project, in the early 2000's, was similarly described and analyzed in *The Two-Income Trap: Why Middle-Class Parents are Going Broke*, authored by Elizabeth Warren and Amelia Tyagi.³⁵ Perhaps most influentially, these books have focused heavily on the determinants of household financial distress among bankruptcy filers and found that most bankruptcy filings by individuals are largely attributed to a handful of external shocks, especially unemployment, medical expenses, and family crises like divorce.

As of the third phase of the Project, it involved a dozen principle investigators,³⁶ and the data gathered by the Project has provided the basis for numerous other influential studies by these researchers and their collaborators. For example, in the years leading up to the major bankruptcy reforms in 2005,

³³ TERESA A. SULLIVAN, ELIZABETH WARREN & JAY WESTBROOK, *AS WE FORGIVE OUR DEBTORS: BANKRUPTCY AND CONSUMER CREDIT IN AMERICA* (1989)

³⁴ TERESA A. SULLIVAN, ELIZABETH WARREN & JAY WESTBROOK, *FRAGILE MIDDLE CLASS: AMERICANS IN DEBT* (2001)

³⁵ ELIZABETH WARREN & AMELIA W. TYAGI, *THE TWO-INCOME TRAP: WHY MIDDLE-CLASS PARENTS ARE GOING BROKE* (2004).

³⁶ See Katherine Porter & Deborah Thorne, *The Failure of Bankruptcy's Fresh Start*, 92 CORNELL L. REV. 67, 125 (2006); WARREN & TYAGI, *supra* note ___, at 181-88 (describing Phase III of the Consumer Bankruptcy Project).

this group of scholars examined, among other things, the role of medical debt in household financial distress and bankruptcies;³⁷ evidence of undercounted business-related bankruptcies in consumer bankruptcy filings;³⁸ the rise in bankruptcy filings in the wake of natural disasters;³⁹ debtors' ongoing financial distress after completion of bankruptcy cases;⁴⁰ the distinct financial hardships of rural debtors;⁴¹ and the impact of having dependents on bankrupt debtors.⁴²

During this same period, beginning in 1994, Lynn Lopucki began gathering data on bankruptcies involving public companies that became the UCLA-Lopucki Bankruptcy Research Database.⁴³ Lopucki's early work that drew from this data examined venue choices,⁴⁴ professional fees,⁴⁵ and

³⁷ Melissa Jacoby, *et al.*, *Rethinking the Debates Over Health Care Financing: Evidence From the Bankruptcy Courts*, 76 N.Y.U. L. REV. 375 (2001); Melissa Jacoby & Elizabeth Warren, *Beyond Hospital Misbehavior: An Alternative Account of Medical-Related Financial Distress*, 100 NW. U.L. REV. 535 (2006).

³⁸ Robert M. Lawless & Elizabeth Warren, *The Myth of the Disappearing Business Bankruptcy*, 93 CAL. L. REV. 743 (2005).

³⁹ Robert M. Lawless, *Bankruptcy Filing Rates After a Major Hurricane*, 6 NEVADA L.J. 7 (2005).

⁴⁰ Katherine Porter & Deborah Thorne, *The Failure of Bankruptcy's Fresh Start*, 92 CORNELL L. REV. 67 (2006) (describing methodology at 125-28).

⁴¹ Katherine Porter, *Going Broke the Hard Way: The Economics of Rural Failure*, 2005 WISC. L. REV. 969 (reporting on a supplemental dataset as part of Phase III of the Consumer Bankruptcy Project to capture rural debtors).

⁴² Elizabeth Warren, [Bankrupt Children](#), 86 Minn. L. Rev. 1003 (2002)

⁴³ See UCLA-Lopucki Bankruptcy Research Database, available at <http://lopucki.law.ucla.edu>.

⁴⁴ Lynn M. LoPucki & Theodore Eisenberg, *Shopping for Judges: An Empirical Analysis of Venue Choice in the Bankruptcy Reorganization of Large, Publicly Held Companies*, 84 CORNELL L. REV. 967 (1999).

⁴⁵ Lynn M. LoPucki & Joseph W. Doherty, *The Determinants of Professional Fees in Large Bankruptcy Reorganization Cases*, 1 J. EMPIRICAL

outcomes⁴⁶ in large Chapter 11 cases, culminating in his book, *Courting Failure*, an influential critical assessment of large corporate reorganizations in the U.S.⁴⁷ Numerous other researchers have utilized this data⁴⁸ to shed light on such things as the financial determinant of business bankruptcies;⁴⁹ the going concern value of firms in Chapter 11;⁵⁰ the likelihood of reorganization in small-business bankruptcies,⁵¹ additional work on professional fees;⁵² courts fees;⁵³ the roles of examiners,⁵⁴ hedge funds,⁵⁵ and other activist investors⁵⁶ in Chapter 11 cases; instances of geographical distance between bankruptcy venue and debtor operations;⁵⁷ and the

LEGAL STUDIES 111 (2004).

⁴⁶ Lynn M. LoPucki & Sara D. Kalin, *The Failure of Public Company Bankruptcies in Delaware and New York: Empirical Evidence of a "Race to the Bottom,"* 54 VAND. L. REV. 231 (2001).

⁴⁷ LYNN M. LOPUCKI, *COURTING FAILURE* (2006).

⁴⁸ For a list of published and unpublished research utilizing the dataset, see http://lopucki.law.ucla.edu/published_research.htm.

⁴⁹ Elizabeth Warren & Jay L. Westbrook, *Financial Characteristics of Businesses in Bankruptcy*, 73 AM. BANKR. L.J. 499 (1999)

⁵⁰ Douglas G. Baird & Robert K. Rasmussen, *Chapter 11 at Twilight*, 56 STAN. L. REV. 673 (2003).

⁵¹ Edward R. Morrison, *Bankruptcy Decision Making: An Empirical Study of Continuation Bias in Small-Business Bankruptcies*, 50 J.L. ECON. 381 (2007).

⁵² Stephen J. Lubben, *Corporate Reorganization & Professional Fees*, 82 AM. BANKR. L.J. 77 (2008).

⁵³ Lynn M. Lopucki & Joseph W. Doherty, *Routine Illegality in Bankruptcy Court Fee Practices*, 83 AM. BANKR. L.J. 423 (2009).

⁵⁴ Jonathan C. Lipson, *Understanding Failure: Examiners and the Bankruptcy Reorganization of Large Public Companies*, 83 AM. BANKR. L.J. 423 (2010); Jonathan C. Lipson & Christopher Marrota, *Examining Success*, 90 AM. BANKR. L.J. 1 (2016).

⁵⁵ Wei Jiang *et al.*, *Hedge Funds and Chapter 11*, 67 J. FIN. 513 (2012).

⁵⁶ Jared A. Ellias, *Do Activist Investors Constrain Managerial Moral Hazard In Chapter 11?: Evidence from Junior Activist Investing*, 8 J. LEG. ANAL. 493 (2016).

practice of asset sales.⁵⁸ In the years before BAPCPA, other researchers also gathered data independently and produced influential studies on the dischargeability of student loans⁵⁹ and impact of bankruptcy law and entrepreneurial activity in the U.S.⁶⁰

C. Critiques About Data

These ongoing projects, and the advocacy of their principal investigators, helped orient much of the field of bankruptcy research in the United States toward empirical inquiry.⁶¹ As empirical research became more central to debates over bankruptcy law and policy, the availability, quality, and accuracy of data regarding the bankruptcy system emerged as important topics of scholarly interest.

As Sullivan *et al.* pointed out, however, the potential benefits of this research depend on data that are not accurate, usable, and “generalizable.”⁶² They and other early writers on the topic drew attention to pervasive quality problems with the available bankruptcy data drawn from filed petitions.⁶³ These were due especially to mistakes or strategic inaccuracy by filers, problems with the design of forms and unclear

⁵⁷ Laura Coordes, *The Geography of Bankruptcy*, 68 VAND. L. REV. 381 (2015).

⁵⁸ Melissa B. Jacoby & Edward J. Janger, *Ice Cube Bonds: Allocating the Price of Process in Chapter 11*, 132 YALE L.J. 862 (2014).

⁵⁹ Rafael I. Pardo & Michelle R. Lacey, *Undue Hardship in the Bankruptcy Courts: An Empirical Assessment of the Discharge of Educational Debt*, 74 U. CINN. L. REV. 405 (2005).

⁶⁰ Wei Fan & Michelle J. White, *Personal Bankruptcy and the Level of Entrepreneurial Activity*, 42 J. L. & ECON. 543 (2003).

⁶¹ For a critique of this development, see Robert K. Rasmussen, *Empirically Bankrupt*. See also articles utilizing bankruptcy statistics generated by the US Trustee’s office during this period. Porter, *supra* note ___, at 968; <http://www.usdoj.gov/ust/eo/public-affairs/articles>.

⁶² Sullivan, *et al.*, *supra* note ___, at 202-04.

definitions of key reporting categories, and inconsistency in data input by clerks in the various districts across the country.⁶⁴ As Frasier observed, writing in 1997, “About the only data accurately reported are the number of bankruptcy cases actually filed.”⁶⁵

Sullivan *et al.* made an early and compelling call for improvements in the collection and dissemination of bankruptcy data. While the U.S. bankruptcy system is well-suited for data gathering,⁶⁶ they observed that doing so requires careful, expert design.⁶⁷ Among other things, they called for improvements in standardized bankruptcy forms and formats to allow for routine, computerized, systematic data gathering.⁶⁸ The 1997 report of the National Bankruptcy Review Commission, an independent commission established by Congress,⁶⁹ advanced these concerns and called for making public all electronic data gathered by bankruptcy courts; a pilot effort to aggregate bankruptcy data from their various sources; the appointment of

⁶³ See generally, Frasier, *supra* note ___, 313-17, 330-40 (describing and finding data errors in characterizing the nature of cases, estimating assets and liabilities, and counting creditors, as well as transcription and judgment errors by bankruptcy clerks who convert data provided by filers into official data).

⁶⁴ Frasier, *supra* note ___, at 308; see also *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 921 (noting the lack of studies of the accuracy of data provided by bankruptcy filers).

⁶⁵ *Bankruptcy: The Next Twenty Years*, *supra* note ___, at 921.

⁶⁶ Lynn LoPucki, *Enhancing the Accessibility and Effectiveness of Bankruptcy Information*, Appendix C-2 to *Bankruptcy: The Next Twenty Years*, (1997), *supra* note ___, at 3.

⁶⁷ Sullivan, *et al.*, *supra* note ___, at 225.

⁶⁸ Sullivan, *et al.*, *supra* note ___, at 226-27.

⁶⁹ National Bankruptcy Review Commission, *Bankruptcy: The Next Twenty Years*, (1997), available at <http://govinfo.library.unt.edu/nbrc/reportcont.html>.

federal bankruptcy data collector; and the establishment of a comprehensive bankruptcy data system.⁷⁰

As Frasier noted at the time, however, there was generally a lack of interest among policymakers in improving the quality, scope, and availability of bankruptcy statistics. She argued that markets and institutions tended to under-estimate the private and public value of public information about the bankruptcy system compared to data on, say, consumer prices, demographics, and trade, all of which are carefully studied, and generate debates about data accuracy.⁷¹ Without pressure from these directions, and because private lenders already had access to their private information,⁷² there was no real pressure for changes in the collection or dissemination of data about the U.S. bankruptcy system.

C. BAPCPA

In the years since Frasier's critique, the Administrative Office of the Federal Courts have significantly improved the PACER system in ways that make public bankruptcy information much more readily obtainable. This has removed at least some practical obstacles for researchers conducting district-level "episodic" studies of the operation of the bankruptcy system.⁷³ However, this change did not in itself address the quality of reported information or improve the ability of researchers to obtain aggregate,

⁷⁰ *Id.* at Chapter 4; see also Lynn LoPucki, *Enhancing the Accessibility and Effectiveness of Bankruptcy Information*, Appendix C-2 to *Bankruptcy: The Next Twenty Years*, (1997), *supra* note __; See also Frasier, *supra* note __, at 342-43 (calling for computerized bankruptcy filings and uniform definitions).

⁷¹ Frasier, *supra* note __, at 318-20; Porter, *supra* note __, at 965.

⁷² Porter, *supra* note __, at 967 [Note: check this].

⁷³ Sullivan, *et al.*, *supra* note __, at 210-22. [And methodological objections. Robert K. Rasmussen, *Empirically Bankrupt*]

system-wide data. And while the availability of PACER data in electronic form may reduce threshold research costs, PACER fees can still be substantial.⁷⁴

The Bankruptcy Abuse Prevention and Consumer Protection Act of 2005, a major and otherwise controversial set of reforms to the U.S. consumer bankruptcy system, provided an opportunity to adopt measures to improve the collection and dissemination of bankruptcy statistics.⁷⁵ Perhaps because the debates over the proposed law largely revolved around empirical claims that were difficult or impossible to resolve with available data, these data-related provisions of BAPCPA were some of the very few aspects of the law that were basically uncontested.

Many of these provisions appear to reflect the criticism and recommendations of the National Bankruptcy Review Commission and other bankruptcy researchers. Perhaps most promising, BAPCPA increases the scope of data that the Administrative Office of the U.S. Courts must compile from the bankruptcy courts and annually make public as aggregate national and district-level statistics. These data now include debtors' total assets and liabilities, including per category of assets and liabilities, as reported in

⁷⁴ [Porter, *supra* note ___, at 981?]

⁷⁵ The Act also included an aspirational but non-operational provision stating "the sense of Congress that

(1) the national policy of the United States should be that all data held by bankruptcy clerks in electronic form, to the extent such data reflects only public records ... should be released in a usable electronic form in bulk to the public, subject to ... appropriate privacy concerns and safeguards ... and (2) there should be established a bankruptcy data system in which-- (A) a single set of data definitions and forms are used to collect data nationwide; and (B) data for any particular bankruptcy case are aggregated in the same electronic record.

BAPCPA 604 (not part of the USC?).

debtors' filed schedules;⁷⁶ debtors' "current monthly income, average income, and average expenses as reported in debtors' filed schedules;⁷⁷ the total amount of debt discharged;⁷⁸ the average time between the filing and the closing of cases;⁷⁹ various data related to debtors' reaffirmation of debts in bankruptcy;⁸⁰ the number of cases which creditors were sanctioned for misconduct and the amount of punitive damages awards as a result;⁸¹ and the number of cases in which damages or sanctions were imposed against a debtor's attorney.⁸² For cases filed under chapter 13, these data include the number of cases in which property securing a claim was valued by the court; the number of cases in which such property was valued at less than the amount of the claim; the total number of dismissed cases; the number of cases dismissed because the debtor failed to make payments under the chapter 13 plan; the total number of cases that were refiled after a dismissal, and total number of cases where the debtors' chapter 13 plans were completed; and the total number of cases in which the debtors had filed a cases within the previous six years.⁸³

⁷⁶ 28 U.S.C. 159(c)(3)(A)

⁷⁷ 28 U.S.C. 159(c)(3)(B)

⁷⁸ 28 U.S.C. 159(c)(3)(C) (discharged debt is "determined as the difference between the total amount of debt and obligations of a debtor reported on the schedules and the amount of such debt reported in categories which are predominantly nondischargeable").

⁷⁹ 28 U.S.C. 159(c)(3)(D)

⁸⁰ These data include the number of cases involving a reaffirmation agreement, the total number of such agreements filed, the number of cases involving such agreements in which the debtor was not represented by an attorney, and the number of cases in which the court approved a reaffirmation agreement. 28 U.S.C. 159(c)(3)(E). A bankruptcy court is required to approve reaffirmation agreements in cases where debtors are not represented by counsel. 11 U.S.C. 524.

⁸¹ 28 U.S.C. 159(c)(3)(G).

⁸² 28 U.S.C. 159(c)(3)(H).

⁸³ 28 U.S.C. 159(c)(3)(F).

BAPCPA also requires the U.S. Attorney General to issue rules requiring and standardizing final and periodic case reports by bankruptcy trustees to “facilitate compilation of data and maximum possible access of the public, both by physical inspection at one or more central filing locations, and by electronic access through the Internet or other appropriate media.”⁸⁴ The Act requires that the rules provide for trustees’ final reports to reflect data about the duration of each case, assets abandoned by the trustee, any assets exempted, receipt and disbursements of the debtor’s estate, administrative expenses, creditors’ claims asserted and allowed, distributions to creditors, “claims discharged without payment,” and any failure of performance by a debtor under a plan.⁸⁵ For periodic reports under chapter 11, the Act requires that rules provide for trustees to report on industry classification; duration of the case, the number of a debtor’s employees; receipts, disbursements, and the debtor’s profitability; tax payments by the debtor; professional fees approved by the court; plans of reorganization, including amounts and percentages recovered by creditors.⁸⁶ The U.S. Trustee issues annual reports reflecting at least some of this data.⁸⁷

⁸⁴ 28 U.S.C. 589b. “The information required to be filed in the reports ... shall be that which is in the best interests of debtors and creditors, and in the public interest in reasonable and adequate information to evaluate the efficiency and practicality of the Federal bankruptcy system.” *Id.* In particular, the rules “shall strike the best achievable practical balance between (1) the reasonable needs of the public for information about the operational results of the Federal bankruptcy system;(2) economy, simplicity, and lack of undue burden on persons with a duty to file reports; and (3) appropriate privacy concerns and safeguards.” *Id.*

⁸⁵ 28 U.S.C. 589b(d)

⁸⁶ 28 U.S.C. 589b(d)

⁸⁷ U.S Dept. of Justice, Exec. Office of the U.S. Trustee, *U.S. Trustee Program Annual Report of Significant Accomplishments Fiscal Year 2015*, available at https://www.justice.gov/ust/file/ar_2015.pdf/download. [Note: get rules]

The Act requires the U.S. Trustee and the Administrative Office to develop a process for auditing information that individual debtors are required to provide under Chapters 7 and 13.⁸⁸ It also commissioned a number of studies, including one by the U.S. Government Accountability Office, an independent agency that provides investigative assistance to Congress, on the quality and availability of bankruptcy statistics.⁸⁹

The GAO study commissioned by the Act reported significant criticism of the BAPCPA provisions: “[F]or several reasons the statistics required under the act are likely to be of limited value. For example, many of the statistics are relatively narrow in scope and were not intended to provide certain key information, such as the causes of bankruptcy and the demographic characteristics of filers.”⁹⁰ Furthermore, the study found that while some of the data reported is too narrow to offer a complete picture of facets of the system,⁹¹ the aggregate statistics, such as those reported by the Administrative Office and the U.S. Trustee, were too broad and not as valuable as case-level data.⁹² The GAO study reported that bankruptcy

⁸⁸ 28 USC 586 (BAPCPA, section 603). *See, e.g.*, U.S. Dept. of Justice, Exec. Office of the U.S. Trustee, *Debtor Audits by the U.S. Trustee Program Fiscal Year 2015*, available at https://www.justice.gov/ust/file/debtor_audits_fy_2015_public_report.pdf/download

⁸⁹ [cite the provision]; U.S. Gov’t Accountability Office, Report to Congressional Requesters, *Bankruptcy: Judiciary Should Take Further Steps to Make Bankruptcy Data More Accessible*, GAO-09-28, Dec. 2008, available at <http://www.gao.gov/new.items/d0928.pdf>. Other studies required by BAPCPA include [____]. Porter, *supra* note ___, at 972-76.

⁹⁰ *Bankruptcy: Judiciary Should Take Further Steps*, *supra* note ___, at 4.

⁹¹ *Bankruptcy: Judiciary Should Take Further Steps*, *supra* note ___, at 4 (“For example, the act requires AOUSC to report the number of cases in which creditors were fined for misconduct, but because courts reprimand creditors in a variety of ways, this statistic provides only a limited picture of the sanctions applied to creditors.”).

⁹² *Bankruptcy: Judiciary Should Take Further Steps*, *supra* note ___, at 4. See also, Rafael Pardo, *Taking Bankruptcy Rights Seriously*, 91 WASH. L.

researchers suggested that “AOUSC to make the underlying case-level data publicly available, which would permit additional analyses of factors such as differences in debtors’ income, assets, and liabilities. AOUSC currently has no plans to make these case-level data available, citing concerns about privacy and security, as well as the reliability of the data.”⁹³

D. Conclusion and Lessons

Given the amount of discussion about the quality and availability of bankruptcy data before BAPCPA, it is surprising that there has been little commentary on the subject since the GAO study. And it appears that little has changed since the GAO’s report. The provisions of BAPCPA related to bankruptcy data undoubtedly marked an improvement in the quality, usability, and scope of available aggregate data about the U.S. bankruptcy system. The data has proved useful for certain empirical inquiries, and any improvement in the reliability and accuracy of such data makes increases the value of the resulting research.⁹⁴

Yet it appears that these improvements have been relatively modest and have not dramatically expanded the ability of empirical research to shed light on crucial questions about the determinants of financial distress for firms and individuals, how system operates, or the nature of its impact on direct stakeholders. Most empirical research of the American bankruptcy system continues to be studies primarily utilizing case-level data

REV. 1115, 1123 n.35 (2016) (noting that the Administrative Office statistics on aggregate debt discharged are understated because they only include data from debtors’ schedules and that the reliance on categories of debt results in both over- and under-inclusiveness of debt in the reported aggregate amount).

⁹³ *Bankruptcy: Judiciary Should Take Further Steps*, *supra* note ___, at 4.

⁹⁴ [Note: confirm this. Check Lawless, Pardo, & Porter.]

gathered from PACER or from the UCLA-Lopucki database,⁹⁵ sometimes supplemented with questionnaires or interviews of participants or stakeholders in the bankruptcy system. Since BAPCPA, for example, researchers have relied on case level data and qualitative research to study whether BAPCPA itself achieved its own goal of reducing access to Chapter 7 for debtors with the ability to repay significant amounts of debt in Chapter 13;⁹⁶ the effect of a debtor's race on attorney advice regarding chapter choice;⁹⁷ the effect of attorney fees on chapter choice;⁹⁸ the particular financial costs that debtors experience before filing for bankruptcy;⁹⁹ the ways in which bankruptcy attorneys responded to BAPCPA and helped steer its impact;¹⁰⁰ the particular experience of religious institutions as borrowers and debtors in bankruptcy;¹⁰¹ patterns in litigation over the dischargeability of student loans;¹⁰² and the experience of pro se debtors in bankruptcy.¹⁰³

⁹⁵ For recent studies utilizing the UCLA-LoPucki database, see *supra* notes 47-57.

⁹⁶ John A.E. Pottow, *et al.*, *Did Bankruptcy Reform Fail?: An Empirical Study of Consumer Debtors*, 82 AM. BANKR. L.J. 349 (2008).

⁹⁷ Jean Braucher, *et al.*, *Race Disparity in Bankruptcy Chapter Choice and the Role of Debtors' Attorneys*, 20 AM. BANKR. INST. L. REV. 611 (2012).

⁹⁸ Pamela Foohey, *et al.*, *"No Money Down" Bankruptcy*, 90 S. CAL. L. REV. 1555 (2017).

⁹⁹ Pamela Foohey, *et al.*, *Life in the Sweatbox*, 94 NOTRE DAME L. REV. (2018 Forthcoming).

¹⁰⁰ Angela Littwin, *Adapting to BAPCPA*, 90 AM. BANKR. L.J. 183 (2016).

¹⁰¹ Pamela Foohey, *Secured Credit in Religious Institutions' Reorganizations*, 2015 U. ILL. L. REV. SLIP OPINIONS 51; Pamela Foohey, *When Churches Reorganize*, 88 AM. BANKR. L.J. 277 (2014); Pamela Foohey, *Lender Discrimination, Black Churches, and Bankruptcy*, 54 HOUSTON L. REV. 1079 (2017); Pamela Foohey, *Bankrupting the Faith*, 78 MO. L. REV. 719 (2013).

¹⁰² Rafael I. Pardo, *The Undue Hardship Thicket: On Access to Justice, Procedural Noncompliance, and Pollutive Litigation in Bankruptcy*, 66 FLORIDA L. REV. 2101 (2014).

¹⁰³ Rafael I. Pardo, *An Empirical Examination of Access to Chapter 7 Relief by Pro Se Debtors*, 26 EMORY BANKR. DEV. J. 5 (2009).

In sum, the U.S. experience with bankruptcy data reflects that basic aggregate data is a crucial starting point, as it provides essential information about the scope of the system and operations within it. Aggregate data about case loads and chapter choice can also reveal information on general trends in the economy that may not be otherwise discernable. But the value of aggregate data has significant limits and case-level data – quantitative as well as qualitative – is essential for developing a useful understanding about the determinants of financial distress, how the system operates, how certain rules within it function in particular circumstances, and what impact these rules and the system itself has on the economy. The U.S. experience also reflects that it is surprisingly difficult to ensure the quality, uniformity, and accessibility of underlying raw data generated by the system and that the definitions of relevant terms and the design of forms used by parties and courts can crucially impact the usefulness of data generated by the system.

II. Data about India's Insolvency and Bankruptcy System

It is uniquely and acutely important for authorities to gather and disseminate timely and reliable data about the India's new insolvency and bankruptcy system. As an initial matter, India's Insolvency and Bankruptcy Code essentially creates an insolvency and bankruptcy system where one did not previously exist. Information about how the system is operating and what impact it is having in its earliest phases can be extremely valuable in helping participants adjust to the system and in enabling policymakers to identify early problems and potential fixes before they become pervasive and intractable issues in the system. Not surprisingly, in the first 18 months of the operation of the system, policymakers have already made some significant adjustments to the regime. Thus far, most of these adjustments appear to have been driven by episodic practical challenges in

early cases and, so it seems from the outside, based on a paucity of data about how the system overall is performing. As the amount of data about the system grows, it will soon enable more sophisticated statistical or econometric analysis. Ideally, future reforms can be based on careful empirical analysis of claims made in policy debates about the functioning of the system and the need for changes.

Furthermore, the new insolvency and bankruptcy system will generate extremely useful information about the Indian economy, especially about trends in the types of financial relationships occurring in the economy and about the determinants of financial distress. This is especially important due to the ongoing challenges in the country with gathering and disseminating reliable financial and economic data in general. The new insolvency and bankruptcy system represents an opportunity to start from scratch in designing an accurate source of such data. Depending on the nature and amount of data that is gathered and disseminated about the system, it could yield a broad, albeit incomplete,¹⁰⁴ window into the commercial and consumer financial markets.

This Part first examines, generally, what data generated by the system might be profitably gathered and disseminated. It then considers the relative institutional capacity of the National Company Law Tribunals and the Board for gathering and disseminating such data, noting some comparative advantages of each for certain types of data. Finally, it describes the importance of standardizing information generated by the system, especially through the forms used by parties and through the processes by which case information is officially recorded, and calls for an early diagnostic study of these aspects of the system.

¹⁰⁴ The obvious limit in this regard is that the system will only generate information about parties and actions that are within it.

A. What data should be collected?

In theory, everything that happens within the new insolvency and bankruptcy ecosystem is a piece of data and might be gathered and disclosed. It is impossible to anticipate information about the Indian insolvency and bankruptcy system that might in the future be useful for policymakers, researchers, and private parties. But it is almost certain that some things that seem beyond concern at the outset may be useful to someone down the road.¹⁰⁵ That said, even a maximalist approach would require policymakers to make some basic decisions. It is hard to imagine, for example, that anyone will find substantive value in data about the color of the shoes that tribunal judges wear.

The experience of policymakers and bankruptcy scholars in U.S. reflects that core data about the bankruptcy system include information about the procedural life of cases brought within the system; the circumstances of parties and other stakeholders throughout the process of cases that involve them; and the performance of actors and institutions that comprise the system itself, including judicial officers, bankruptcy professionals, and trustees. The discussion below identifies examples of similar or parallel subjects of core data within the IBC ecosystem – especially debtors, creditors, tribunals, and insolvency professionals.

1. Procedural data. Basic procedural data about cases brought under the IBC provide an essential core of information about how the system operates. This data certainly includes the number of applications filed under each chapter of the Code in each jurisdiction, as well as more specific information about procedural events, such as: the number of applications accepted and rejected; the number of subsequent dismissals; the duration of cases; the number of applications that result in discharge of debt; the

¹⁰⁵ Consider, for example, the influential work on judges by Gulati et al, that rests on data about the length of opinions and the time it takes to generate them.

frequency of meetings of creditors; the number of actions to recover preferential payments, and the rate of success of such actions; various aspects of creditor voting, including outcomes; the number of legal challenges and appeals of decisions made; the frequency of disputes about the amount or existences of claims, and their success rate; the frequency of other procedural objections made or actions taken.

2. Stakeholder data. Information about the primary stakeholders in the system, especially debtors and their creditors, comprise another core set of data about the system, how it operates and what impact it may be having. This data certainly includes demographic information or characteristics of the debtors who are in the system; how much debt they owe, in total and on average; the characteristics of their creditors; how prevalent are various types of claims in the system, including the nature, timing, and maturity of debtors' obligations; and what assets debtors have, including how much of those assets is exempt from creditor recovery. Furthermore, this core data would include information about who utilizes the system most actively, reflected by the number of involuntary applications (filed by creditors) compared voluntary ones (filed by debtors), as well as other relevant information about the characteristics of the filing parties, such the number of involuntary applications filed by financial and operational creditors.¹⁰⁶

Finally, core data about stakeholders of the system would include information about how they fared, including: how much value creditors recovered from their debtors, and in what form; how much debt was discharged or restructured; how frequently corporate debtors survived their cases as reorganized firms and how frequently they were liquidated; and how frequently debtors undergo subsequent insolvency or bankruptcy cases.

¹⁰⁶ To date, it appears that most filings have been creditors, including both financial operational creditors. See Chatterjee, Shaikh and Zaveri, *supra* note ____.

3. Institutional data. Core data about the operation of the new IBC ecosystem also includes information about the institutions and repeat professional actors within the system. Chief among these are the tribunals and their judicial officers. Judicial delay is a pervasive challenge in India, and the IBC was specifically designed to streamline the institutional function in insolvency and bankruptcy cases. There is a 270-day deadline for successful adoption of resolution plan under the insolvency chapter of Code, after which the cases are supposed to automatically go into liquidation. The capacity of the system to resolve cases within this deadline has been a primary concern about the operation of the Code from its inception. Currently, several prominent cases brought under the Code are on the cusp of this deadline, and so this is now a topic of great interest and concern. As noted above, comprehensive and system-wide information about the number and duration of cases is core data about the operation of the new system. In assessing the capacity of the tribunals and the judicial officials, it would also be essential to know such information as the number of judges in each tribunal that heard cases related to the IBC; the number of cases heard per judge; and the average duration of cases by each tribunal, including the time taken between important milestones. Such data should also help the tribunals allocate resources internally.

Other pillars of the institutional machinery of the IBC include the insolvency professionals, the information utilities, and the Board itself. Core data about the system thus includes information about how many insolvency professionals are working within the system; who selects the; how often they file cases; how many cases each handles on average; how often there are objections to insolvency professionals and how those objections are resolved; the total and average fees for insolvency professionals and other administrative claims; and the instances of allegations of misconduct by insolvency professionals. It also includes information about the number and types of the Board's regulatory actions,

such as acts of supervision, regulation and enforcement with regard to insolvency professionals, insolvency professional agencies, and information utilities. Core data regarding information utilities will include such information as the number and scope of records they maintain; the number of requests for information they receive and for what purposes; and the average time it takes for them to provide information to parties and the tribunals.

4. Case-level data. The examples of core data described above are generally aggregate data which can provide some crucial baseline information about the new system and represent broad snapshots of distinct aspects of the system. As the growing body of empirical research on the US bankruptcy system reflect,¹⁰⁷ more nuanced data about the parties, cases, and institutions in the new insolvency and bankruptcy system can be derived from correlative statistical information and qualitative assessment. To fully assess the function and impact of the system, it would be useful to know, for example, whether outcomes in any or all chapters differ in relation to financial or demographic attributes of debtors, their debt profiles, the types of their creditors, or who selects the insolvency professional.

Similarly, while aggregate data about the nature, timing, and maturity of debtors' obligations can provide useful information about the determinants of financial distress in India, researchers and policymakers could learn much more by assessing and comparing the full profile of debts owed by particular debtors in the system. Significant data can also be generated by qualitative inquiry, perhaps through interviews or surveys of individual debtors or creditors combined with information about their insolvency or bankruptcy cases. Both types of analysis - nuanced quantitative and qualitative - depend on the availability of information about particular cases; researchers must at least be able to identify individual

¹⁰⁷ Maybe discuss Pretend Solution; Lawless et al?. In text?

parties in the system, even if they remain anonymous, and have some ability to access them and information about their cases. As discussed below, useful aggregate and case-level data both depend on uniformity and standardization in the ways that parties, professionals, and institutions record and report information.

B. Allocating the Responsibility for Data

Both the Board and Tribunals could, in theory, gather all of the examples of aggregate data described above. In fact, both institutions will likely gather at least some of this information if only for internal purposes of managing and evaluating their own institutional functions. But they face significantly different challenges, and enjoy some relative advantages, in generating reliable and usable data, whether for internal purposes or for public use. This Part describes both institutions as sources of data and considers how they might expand their roles, including their relative advantages in this regard.

2. Data from the Board. As noted above, the IBC specifically requires the Board to gather and disseminate data about the new system. It is worth noting that financial regulators in India have become increasingly attentive to the benefits of publicly available data. Financial regulators such as the Reserve Bank of India (RBI), the Securities and Exchanges Board of India (SEBI), the Pension Fund Regulatory Development Authority (PFRDA) and the Insurance Regulatory and Development Authority of India (IRDAI) release aggregate data on the markets they regulate, and their intermediaries at regular intervals. The Financial Sector Legislative Reforms Commission (FSLRC) set up by the Ministry of Finance to look at the reform of financial sector laws in India, recommended the creation of a statutory Financial Data Management Centre (FDMC), which would be the repository of all financial regulatory data, the goal of which is “to strengthen the stability of financial system by identifying, monitoring and mitigating systemic risks.” The Commission recognized that the first step in

creating such a data center would be to create a measurement system through which the financial system could be studied. The Ministry of Finance released a report in October 2016 on the Financial Data Management Legal Framework in India.¹⁰⁸ The Task Force has recommended an Act that would establish a data center for

managing the repository of financial regulatory data , to enable standardization of Data across the financial sector and providing analytical support to the Financial Stability and Development Council on issues related to financial stability of the economy and matters connected therewith.

When the FDMC takes shape, regulated entities under the IBC will presumably be required to contribute data to the FDMC, given that such data can be systemically significant.

In the meantime, the Board has begun published a very limited amount of information about the insolvency and bankruptcy system on its website, including basic information about the insolvency professionals, insolvency professional agencies, and information utilities under its purview. It also publishes orders from cases under the Code and a comprehensive collection of legislative and regulatory material.

It is not yet clear how the Board will perform its full responsibility to gather and disseminate data about the insolvency and bankruptcy system. It has a full menu of possible approaches to managing data generated by the system and can presumably learn from the experiences of other jurisdictions, like the U.S., in assessing the options on this menu of approaches.

As an initial matter, the Board does not appear to have formal authority to obtain data directly from the tribunals; it only has authority to

¹⁰⁸ https://dea.gov.in/sites/default/files/FDMC%20Report%20along%20with%20draft%20bill_0.pdf

obtain data from insolvency professionals and insolvency professional agencies. Therefore, for the Board to obtain comprehensive aggregate data about the insolvency and bankruptcy system, it must be able to depend on these professionals and their agencies to ensure that it receives the relevant data about each and every case.

This not only requires basic compliance and participation by the professionals and their agencies, but it depends upon a system in place to make the information provided to Board uniform such that it can be aggregated. This could be done in a variety of ways. For example, the Board could require professionals or their agencies to gather data and report aggregate data related to the cases in which they are involved and then combine all of the data it receives from these sources into a total aggregate. Alternatively, the Board could create a system in which it obtains raw data from the professionals and agencies and does all of the necessary analysis and aggregation itself. To conduct this second approach, the Board might create an electronic registry of case-related documents, actions, and decisions and rely on the professionals and agencies to consistently submit documents and note case-related actions and decisions.

In any event, this relationship creates an agency problem as the Board will be depending on parties that it regulates but does not control in the strictest sense. The reliability of any aggregation of data by the Board will require a great deal of consistency and accuracy on the part of a large number of individual insolvency professionals. Yet the consequences of mistakes or failures may be primarily borne upstream by the Board, if they are detected at all.

2. Data from the judiciary. As noted above, all bankruptcy petitions and supporting court documents have long been public documents in the US, and these have been a primary source of data about the system for independent researchers. In contrast, the Indian system does not provide easy access to court documents. Although court documents are public documents under the Indian Evidence Act, access to them is restricted to those that have a “right to inspect” them.¹⁰⁹ Thus, a person would need to demonstrate her right, or her interest, in accessing the public documents.¹¹⁰ One generally has to show some connection to the proceedings to seek such data. There is no provision in law which obligates courts to publish all court orders. As a result, court documents, especially the pleadings, cannot be easily obtained from the court system in India.

While documents on pleadings seem to be out of the purview of public release, information on case listing dates, judgments and orders (interim or final) is usually available to the public and is currently published on court websites for almost all judicial fora. The information, however, is usually not gathered in a database. Furthermore, the underlying data is often inconsistent. For example, courts use different definitions for basic terms, such as “case.”¹¹¹ Also, accessing the data is not easy as one often requires some details of the case (such as the party name, or the bench) to retrieve it. Both issues create hurdles for empirical research; recently the Law

¹⁰⁹ Section 76 of the Evidence Act provides that “[e]very public officer having the custody of a public document, which any person has a *right to inspect* [emphasis supplied], shall give that person on demand a copy of it on payment of the legal fees therefore...”

¹¹⁰ See *M. Papanna vs Hon’ble Chief Justice on 1 March, 1989* (<https://indiankanoon.org/doc/180435/>), *Queen-Empress vs Arumugam And Ors. on 30 April, 1897* (<https://indiankanoon.org/doc/1171829/>), *M. N. Krishna Rao Vs. Bd. Of Trustees CITB, 1971* (<http://www.the-laws.com/Encyclopedia/Browse/Case?CaseId=011791011000>).

¹¹¹ <https://ajayshahblog.blogspot.in/2016/03/instrumenting-courts-in-india.html>

Commission of India¹¹² noted that it could not obtain reliable data from trial courts on arrears and delays. The Supreme Court of India published a consolidated report of the Indian judiciary for the first time in 2015-16.¹¹³

Unlike the Board, the National Company Law Tribunals and Debt Recovery Tribunals, the adjudicating authorities under the Code, are not subject to any obligation regarding data about the new insolvency and bankruptcy system. If administrators and judges of these tribunals could play a crucial role in gathering and disseminating such data. The tribunals will have independent and direct access to most of the data that might also be gathered by the Board, and they will generate much of that data itself. However, there has been no such move as of present. Like the Board, the NCLT has published orders issued by the tribunals on its website. Yet Chatterjee, Shaikh and Zaveri, who compiled the first data-set of such orders, observe the orders are not text search-able or machine readable, making it extremely costly for researchers to track and study the life-cycle of any case using them. And, in any event, such orders only include information that is relevant for addressing the legal issue at hand.

The tribunals have similar but perhaps less imposing logistical challenges as the Board, at least for some types of data. There are [__] National Company Law Tribunals across the country and [__] Debt Recovery Tribunals. Each tribunal has authority to gather data about the cases before it. To gather aggregate data about the entire system, the data gathered or produced by the various tribunals presumably must be gathered the national administrator for the tribunals. Like the Board, the tribunals could either combine aggregate data produced separately or the central administrator could conduct analysis and aggregation from raw data provided by the various tribunals.

¹¹² <http://lawcommissionofindia.nic.in/reports/Report245.pdf>

¹¹³ <http://supremecourtindia.nic.in/pdf/AnnualReports/Annual%20Report%202016-17.pdf>

3. Comparative advantages. For some types of basic case-related data - e.g., number of applications submitted, accepted, and rejected - this process can, in theory, be more easily centralized and systemized at the tribunal level than, say, within a system of insolvency professionals. First, the number of individuals who must participate and input data consistently is smaller in this context because there are fewer tribunals than insolvency professionals. Second, staff at the tribunals should not, again in theory, create the same kind of agency problems as independent insolvency professionals do in relation to the Board.

These practical advantages erode, however, for data about aspects of the system that happen outside of the tribunals or that inevitably require some participation by insolvency professionals. Tribunals do not need to rely on outside actors to keep track of procedural actions or official docket information, but they must rely on private parties and insolvency professionals to submit almost all substantive information about each case, including about characteristics of debtors, creditors, and claims. The tribunals may still have some institutional advantage in gathering data of this nature since this information will necessarily be submitted in individual cases and does not require a separate process of submission. This institutional advantage should disappear, however, if the Board develops an information system that captures data when it is submitted to tribunals. Furthermore, because the Board is charged with supervising and regulating the operation of the insolvency and bankruptcy system, it should have independent motivation to gather reliable aggregate information about nature of cases and the performance of insolvency professionals.

An individual tribunal or an individual insolvency professional agency could make case-level data available either systematically or by granting ad hoc access. Either would likely have data from enough cases to yield a sufficient sample for meaningful analysis. The decision of insolvency professional agencies to provide such data would presumably be subject to

veto from the Board. It is also possible that case-level data could be provided under a narrowly defined set of circumstances, perhaps to researchers who are granted permission upon application. In any event, any cost charged for access to case-level data would likely impact the scope of analysis and research that could be done by parties subject to the cost.

C. Ensuring Standardization and Availability

Regardless of how responsibility for collecting and disseminating data is allocated between the Board and the NCLT, the success and usefulness of those efforts depend largely on the on the data being uniform – and thus comparable – and being accessible to researchers and the broader public. These factors in turn depend, first, on the mode of generating data and, second, on the mode of dissemination. This section describes how standardized forms can generate useful data and how a public electronic database of those forms and other court documents can maximize the access to and availability of such data.

1. Forms. The underlying quality of data about the insolvency and bankruptcy system – whether it is disseminated in the aggregate or made available in raw, case-level form – depends on how it is initially generated by the various actors within the system, especially the parties involved in particular cases. Much of this data is generated by the forms that parties and insolvency professionals use throughout the life of a case, including applications, reports, and resolution plans. These forms provide procedural information about the case, but also financial information about debtors and creditors and other stakeholders, and the nature of their relationships. It is thus crucial for standardizing data that these forms be carefully designed to report all potentially relevant information in uniform manner and easily searchable.

In the US, the federal judiciary has approved a large number of official bankruptcy forms¹¹⁴ that must be used by private parties in

¹¹⁴ <http://www.uscourts.gov/forms/bankruptcy-forms>

bankruptcy cases.¹¹⁵ Thus, parties are required to use these standardized forms for, among other things: petitions for voluntary and involuntary cases; a list of the largest creditors in Chapter 11 cases; a summary of a debtor's assets and liabilities; schedules of a debtor's property, secured and unsecured creditors, executory contracts; a statement of the debtor's financial affairs; notice given to creditors; creditors' proofs of claims; and agreements for a debtor to reaffirm debt. The federal judiciary has also promulgated standard forms for court documents that may be required under local rules or used voluntarily in other jurisdictions.

Similarly, the Board and the Ministry of Corporate Affairs have promulgated various standard forms for use in cases under the Code.¹¹⁶ These include forms for a creditor's demand of payment before initiating a case;¹¹⁷ applications to initiate a case;¹¹⁸ introduction of proposed interim resolution professionals;¹¹⁹ public announcement of the commencement of an insolvency case;¹²⁰ and proofs of creditors' claims.¹²¹ Yet the Board and the MCA have not yet promulgated forms for many important actions under the Code. For example, debtors that apply for an insolvency process must furnish a statement of affairs within fourteen days of their application¹²² and involuntary debtors must also submit such a document early in a case. This document will presumably contain some of the most important and

¹¹⁵ See U.S. Bankruptcy Rule 9009.

¹¹⁶ See, e.g., Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016, available at [http://ibbi.gov.in/webadmin/pdf/legalframework/2018/Feb/06%20FEB%202018%20IBBI%20\(INSOLVENCY%20RESOLUTION%20PROCESS%20FOR%20CORPORATE%20PERSONS\)%20REGULATIONS,%202016%20\(AMENDED%20UPTO%2006%20FEB%202018\)_2018-02-19%2009:31:58.pdf](http://ibbi.gov.in/webadmin/pdf/legalframework/2018/Feb/06%20FEB%202018%20IBBI%20(INSOLVENCY%20RESOLUTION%20PROCESS%20FOR%20CORPORATE%20PERSONS)%20REGULATIONS,%202016%20(AMENDED%20UPTO%2006%20FEB%202018)_2018-02-19%2009:31:58.pdf); Ministry of Corporate Affairs, Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016, available at http://www.mca.gov.in/Ministry/pdf/InsolvencyRules_01122016.pdf.

¹¹⁷ MCA Regulations, Form 3.

¹¹⁸ MCA Regulations, Forms 1, 5, & 6.

¹¹⁹ MCA Regulations, Form 2.

¹²⁰ IBBI Regulations, *supra*, Form A.

¹²¹ IBBI Regulations, *supra*, Forms B-F.

¹²² http://www.mca.gov.in/Ministry/pdf/InsolvencyRules_01122016.pdf

comprehensive information about debtors in insolvency cases. Yet there is no standard form for such a document, nor are there any rules governing the content or format of such a document. It is possible that a standard form could emerge from practice within the IBC system, but if not, or in the meantime, there is not likely to be much consistency in how the data about debtors in the insolvency and bankruptcy process are being generated. Ideally, the Board and the MCA will promulgate additional forms for use by participants within the IBC system and will conduct a review the use of standard forms by participants and the reporting of data not covered by standard forms.

2. Access. Assuming that the system generates reliable data, policymakers must still decide the scope of access it allows to such data. The Board and the tribunals could decide, for example, to only disseminate aggregate data generated by the IBC system. If policymakers decide to make case level data available to researchers or other members of the public, it could do so liberally or in a restricted fashion. It could, for example, grant limited access to such data to researchers upon application. The most liberal approach would be to make data publicly available on an electronic database similar to the PACER system in the US. Any policy in this regard must balance concerns about privacy with the benefits of widely available data about the IBC system.